

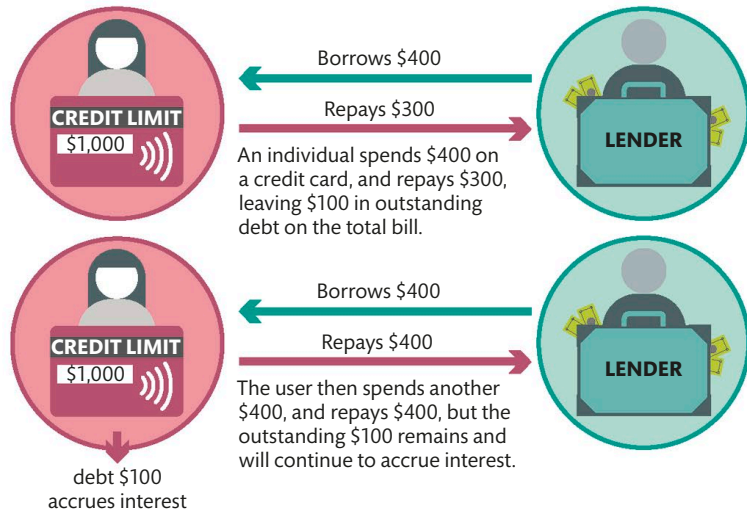


NEED TO KNOW

- › **Balance transfer** Using a balance transfer credit card that has a 0% APR intro rate is one strategy to get out of debt.
- › **Cash advance** The use of a credit card to withdraw cash from an ATM. A credit card company normally charges more interest and additional fees when cards are used in this way.
- › **Revolving credit** A line of credit that allows customers to use funds when they are needed. However, the interest starts right away, and may be a poor choice when you need cash.
- › **Credit limit** The maximum amount an individual can borrow at any one time.

REVOLVING CREDIT

A credit card is a form of revolving credit. This is an arrangement that allows for a loan amount to be withdrawn, repaid, and then redrawn again any number of times. The borrower can withdraw funds up to a set limit.



WARNING

Credit card fraud involves using a credit card as a fraudulent source of funds in a transaction.

In the simplest form of the crime, the fraudster obtains an individual's credit card details and uses them over the phone or on the internet to make purchases in the cardholder's name.

At the other extreme, the fraudster may use the cardholder's details to assume his or her identity and fraudulently open bank accounts, obtain credit cards, or take out loans and other lines of credit in the cardholder's name.

It's a good idea to check online credit card accounts a few times a week to look for fraudulent purchases.

